

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

MOTION TO COMPEL PRODUCTION OF DOCUMENTS

Pursuant to 46 C.F.R. § 502.150(a)(1), Respondent SM Line Corporation (“SM Line”), through its undersigned counsel, hereby moves for an order compelling Samsung SDS America, Inc. (“SDS America”) to produce the demurrage and detention and other charge related documents for shipments related to Samsung Electronics America, Inc. (“SEA”) (carried by SM Line) for 2022, as requested in its discovery requests.

Pursuant to 46 C.F.R. § 502.150(a)(2)(i), on February 16, 2024, counsel for SM Line contacted counsel for SDS America to obtain compliance without the need for this motion. SDS America maintains that is not required to produce the documents requested relating to 2022. Because the discovery deadline expires on February 28, 2024, at this time, and with the leave of this Court, SM Line has no option but to file this motion to avoid prejudice to its right to obtain relevant documents.

FACTUAL BACKGROUND

On January 19, 2024, SM Line served its Notice of Subpoena for Production of Documents to Non-Party Samsung SDS America, Inc (“Subpoena”) directed to SDS America. Attached hereto as Exhibit A is a true and correct copy of the Subpoena. SDSA filed a motion to quash the Subpoena, which SM Line opposed. The FMC granted SDSA’s motion only to the extent that the Subpoena was modified and that SDSA need only respond to requests 14-17 to the extent such documents directly reflect the process of handling Samsung products being imported and distributed or delivered. Attached hereto as Exhibit B is a true and correct copy of the Order. The Subpoena included, *inter alia*, the following requests to produce documents and communication:

1. All documents and correspondence exchanged on its own, between, or amongst SDSA and Logitech, including their respective parents, subsidiaries, affiliates, agents, vendors and contractors, as well as their subcontractors related to the booking, importing, handling, and delivery of the Shipments that SEA claims being at issue in SEA’s Claim, including but not limited to service contracts, service agreements, Requests for Proposal, quotes, letters of intent, delivery orders, work orders, receipts, invoices, payment records, and any other service agreement.
2. All documents and correspondence exchanged on its own, between, or amongst SDSA and SDS, including their respective parents, subsidiaries, affiliates, agents, vendors and contractors, as well as their subcontractors related to the booking, importing, handling, and delivery of the Shipments that SEA claims being at issue in SEA’s Claim, including but not limited to service contracts, service agreements,

Requests for Proposal, quotes, letters of intent, delivery orders, work orders, receipts, invoices, payment records, and any other service agreement.

3. All documents and correspondence exchanged on its own, between, or amongst SDSA and SEA, including their respective parents, subsidiaries, affiliates, agents, vendors and contractors, as well as their subcontractors related to the booking, importing, handling, and delivery of the Shipments that SEA claims being at issue in SEA's Claim, including but not limited to service contracts, service agreements, Requests for Proposal, quotes, letters of intent, delivery orders, work orders, receipts, invoices, payment records, and any other service agreement. All documents and correspondence exchanged on its own, between, or amongst SDSA and SM Line, including their respective parents, subsidiaries, affiliates, agents, vendors and contractors, as well as their subcontractors related to the booking, importing, handling, and delivery of the Shipments that SEA claims being at issue in SEA's Claim, including but not limited to service contracts, service agreements, Requests for Proposal, quotes, letters of intent, delivery orders, work orders, receipts, invoices, payment records, and any other service agreement.
4. All documents and correspondence exchanged on its own, between, or amongst SDSA and any third party service providers, vendors, contractors, agents, and their respective parents, subsidiaries, affiliates, agents, vendors and contractors, as well as their subcontractors subcontractors or subvendors that were involved or related to securing, providing, managing, handling, or communicating with any trucking service providers, truck dispatching service providers, truck operators, truck driver, rail terminals, marine terminals, warehouses, or any other similar shipping

and logistics service providers related to the booking, importing, handling, and delivery of the Shipments that SEA claims being at issue in SEA's Claim, including but not limited to service contracts, service agreements, Requests for Proposal, quotes, letters of intent, delivery orders, work orders, receipts, invoices, payment records, and any other service agreement.

5. All documents and correspondence exchanged on its own, between, or amongst SDSA and any other person or entities, related to the booking, importing, handling, and delivery of the Shipments that SEA claims being at issue in SEA's Claim, including but not limited to including but not limited to service contracts, service agreements, Requests for Proposal, quotes, letters of intent, delivery orders, work orders, receipts, invoices, payment records, and any other service agreement.

...

10. All documents and correspondence related to demurrage and detention charges, as well as any other types of charges (such as pre-pull, storage, chassis fees, surcharges, or fees) for each of the Containers that SEA claims being at issue in SEA's Claim.
11. All documents and correspondence related to questioning, disputing, challenging, or requesting of discounts for or waiver of the demurrage and detention charges or any other types of charges or fees for each of the Containers that SEA claims being at issue in SEA's Claim.

SDSA's initial production included approximately 100 documents related to ocean freight charges only. The production included nothing regarding demurrage and detention charges. The

record shows that SDSA provided services to SEA including—but not limited to—arranging door delivery moves through SEA’s Customer Nominated Truckers (CNTs). SM Line produced evidence of such arrangements in its response to SDSA’s Motion to Quash. In particular the documentation demonstrated the considerable involvement of SDSA with SEA shipment in year 2022. *See* Docket Document No. 45; *see also* Exhibit A to Document No. 45; *see also* Exhibit B to Document No. 45. Additionally, SDSA’s production failed to include weekly demurrage and detention or other accessorial charge payment reports for 2022, documentation and correspondence relating to the payments made by SDSA to SM Line on behalf of SEA and any email communications with SEA, Samsung SDS Co., Ltd. or Samsung Logitech Co., Ltd. It is unlikely that such payments were finalized by SDSA on SEA’s behalf without the parties having exchanged correspondence and documents in support of the charges. Moreover, since SDSA was making weekly payments to SM Line, it is unreasonable to believe that there was no correspondence between SDSA and SEA or between SDSA and the other Samsung-related entities.

On February 14, 2024, following SDSA’s initial production, SM Line alerted SDSA to several deficiencies in the documentation produced in response to the Subpoena. SM Line gave SDSA the option to provide a sworn declaration or affidavit stating that such documentation did not exist, should that be the case. On February 16, 2024, SM Line held a meet and confer with SDSA to attempt to resolve the production discrepancies. SM Line advised SDSA that the subpoena required production for documents from the last four years which necessarily included 2020, 2021 and 2022. SDSA disagreed and stated that it will not produce documents related to the year 2022. Attached hereto as Exhibit C is a true and correct copy of the email correspondence between counsel for SM Line and counsel for SDSA regarding the discrepancy.

Facing a closing discovery window, on the same day counsel for SM Line contacted the FMC to attempt to resolve the subpoena scope issue. Counsel for SDSA opposed. Ultimately, the Commission stated that if SM Line believed SDSA has not complied with the subpoena, SM Line was permitted to file a motion. Attached hereto as Exhibit D is a true and correct copy of the relevant email chain. As such, SM Line has filed the instant motion.

ARGUMENT

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense. 46 C.F.R. § 502.141(e)(1). The Request for Documents specifically included documents and correspondence related to demurrage, detention, and other accessorial charges (eg. prepull, container yard charges, diversions, etc.) that SDSA was involved with or handled SEA shipment carried by SM Line and that the relevant time period included the years 2020 through 2022. SDSA produced approximately one hundred documents pertaining to ocean freight records in 2020 and 2021 only.

WHEREFORE, the Respondent respectfully requests that the Chief Administrative Judge grant this motion and compel SDSA to produce that documents that are the subject of this motion.

Dated: February 23, 2024

Respectfully submitted,

/s/Wook Chung

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Counsel for Respondent

SM Line Corporation

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 23rd day of February 2024, the foregoing document was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
judges@fmc.gov

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